# How To Live Financially Free on Dividends in a Brokerage Account Using Margin

This E-Guide on living financially free through dividends in the stock market- particularly with using margin- will be as brief as possible in an attempt to get straight to the point and actually impact your life NOW.

I have a degree in finance and 20 years of investing experience. But I am NOT a financial advisor or licensed broker. Rather, I am just a man who has found a way to live financially free, and I am simply sharing the information I have gathered over the years of navigating the market with others who have a burning desire to get ahead.

Enjoy!

# Chapter 1:

*What is Margin?*

> In finance, the margin is the collateral that an investor has to deposit with their broker or exchange to cover the credit risk the holder poses for the broker or the exchange. An investor can create credit risk if they borrow cash from the broker to buy financial instruments, borrow financial instruments to sell them short, or enter into a derivative contract.
>
> Buying on margin occurs when an investor buys an asset by borrowing the balance from a broker. Buying on margin refers to the initial payment made to the broker for the asset; the investor uses the marginable securities in their brokerage account as collateral (Investopedia.com).

All most people know about margin is perhaps the definition above. But, most likely, what people know about margin is that it is TABOO. Usually this is where the conversation ends.

Thankfully, we like minded individuals have come together with an outlet to talk about anything-success-related through my YouTube channel, "Unconventional Wealth Ideas", in order to dispel the myths surrounding the polarizing subject.

Margin may "be borrowing other people's money," but I say I'm simply using the advantages of equity that every brokerage account provides you in order to add value back into my account.

The way I use margin is similar to the way someone taps the equity on their own house for a loan.

If they spend out of the house, and don't reinvest back in with remodeling and other various home improvements, then using the equity to draw on for a loan was not a viable investment decision. It was simply a way to find cash, blow it, and forever bury yourself in a financial hole.

The same goes for a margin account. ***I only spend out of my dividends, so that I don't erode the value of my account, or incur higher interest payments than necessary.***

So, is margin taboo, or trading with someone else's money? I think not! You are using the power of your own equity, like with a house.

There is also good debt and bad debt. Margin doesn't show up on a credit report. I can click sell at any time. Margin, therefore, is good debt when used ***properly (never use more than 30% of your account in margin; 50% MAX. People who use 100% of their account in margin are playing with fire and must have a death wish)***.

As I was saying, people take loans all the time with other people's money. That's what ANY loan is; money borrowed from someone else. People even use credit cards for their loans every day and don't feel hypocritical. Yet they get abused in the process, unlike with margin rates. Interest rates on credit cards range between 10%-30%, whereas interest rates on margin range from 1%-14% (mine is 5% because I negotiated it down two times).

Margin skeptics will say, however, "Yeah, but we are not betting it on risky things like you are doing in the stock market, Todd ". I beg to differ. Most small businesses fail, cars can crash, and a house bought with “job security” is a myth when everyone I know has been fired prematurely at one point in their life; and yet these examples above were considered “non-risky”, and were all borrowed on someone else's money. The logic of people who oppose margin but willingly accept other predatory loans for little payoff never added up to me.

On the contrary, dividends usually payback all losses incurred in the market over time, as well as the margin debt used to get it. So, using margin to have the dividends pay it back seems like a better way to use risk than the inherently risky, traditional ways above.

You also can't say that about stocks, which people are so cozy with for some strange reason (knowing they could crash for any reason, and never comeback, while 4-star funds typically can't crash your account, even if you are using ***some*** margin).

The key is to use the RIGHT amount of margin, which I will discuss in later chapters. For now, let's choose the right brokerage house for you that makes this new way of life all possible.

# Chapter 2:

*How To Get Started Choosing a Broker*

The first step towards taking control of your financial future is finding the right broker for you.

## Shopping For Brokers

Whether it be E*Trade, TD Ameritrade, Interactive Brokers, Schwab, or Fidelity, these brokers generally support margin capabilities because it's in their best interest to do so (no pun intended).

Just remember that some brokerages ***don't*** offer the Cornerstone DRIP program, where the **dividend is reinvested at NAV** (net asset value), such as IBKR. So, do research on the broker that is the right fit for you.

Continuing on about brokers, many brokerage houses derive a large portion of their revenue from the margin interest incurred by their clients.

They WANT you to use it. But not to hang yourself with! Otherwise, they would lose a valuable client, of course.

So, it's in both parties' interests to use margin responsibly.

Now that you have established your proper broker, it's time to pick your investments, and their specific allocations (amounts you will buy of each fund), in order to set your level of monthly earnings, and spread your margin risk across multiple positions so that no one stock or fund can take you down and trigger the dreaded "margin call."

# Chapter 3:

*Selecting Your Investment Funds & Their Proper Allocations*

"Diversification is the only free lunch there is," Jim Cramer used to say. I never really knew what he meant by this, except that diversification saves you from adverse events. Some days, the market could be down and yet, some holdings within the portfolio are up. So, this could also be what Cramer meant. I, however, use diversification for more pressing needs.

Yes. I use the tactic of diversification to spread risk, and to increase portfolio performance. But, most importantly, I do so to *avoid margin calls*.

Today, IEP, the highly esteemed Carl Icahn fund, for example, crashed 20% on a Hindenburg report questioning the fund's authenticity.

The takeaway from this anecdote was that, even though I am using $250,000 in margin at the time of writing this guide, and own IEP at this time, my account barely budged. This is because IEP represents only a small part of my account. In other words, diversification across multiple funds, with small amounts in each of the higher risk funds, is the free lunch I am getting here to help me survive and live to fight another day. More than survive, thrive.

I lost $1,000 in IEP today as I only have $4500 invested on a roughly $400,000 account. By spreading my money around and diversifying, IEP alone doesn't harm me, and I continue to live financially free as a result. The dividends will usually payback all losses, at the end of the day, anyway.

In addition to not letting one fund take you down and trigger margin calls through the subtle art of diversification, diversifying into other high-quality names also controls your portfolio movement and drawdowns.

So, if drawdowns become too large in a short time period due to a major market crash, you can be expecting a margin call. You never want to be in a position remotely close to being in a margin call. The way you avoid this is through proper fund selection:

***Depending on your age, goals, and risk tolerance, you need to properly select which funds and allocations are right for you.***

Let's just assume, for argument's sake, that a 50-year-old person with bills and a family has a $100,000 portfolio- in all cash. If that were me (I'm 37 now), which funds would I choose and how much would I put in each?

The rule of thumb is to never put more than 20% of your money in one position.

So, I would simply put 10K in each of the 10 best funds out there to equal 100K:

- CLM (But understand the rights offering, especially if you hold larger amounts like me)
- CRF (Understand the rights offering, especially if you hold larger amounts like me)
- USA
- BDJ
- STK
- DIVO
- BST
- EOS
- SCHD

These funds will largely follow the indexes (the S&P 500 and Nasdaq) which is integral to my margin strategy. Not only is indexed investing the best way to perform in line with the market over time (which 90% of fund managers can't do), but it also ensures drawdowns are limited to the extent of market index falls, which are usually nowhere near as bad as individual stocks. In the 2022 bear market, the indexes fell about 30%, whereas individual stocks in the S&P fell, in some cases, over 50% plus from their highs.

To control your movement even more, just swap out those funds mentioned above for faster or slower moving funds. Bond funds like:

- GOF
- PTY
- RIV

Are top rated funds on Morningstar that can slow down/stabilize portfolio movement and limit drawdowns, since bonds work in a slower economic environment (but not in a rising-rate environment).

If you want more movement, excitement, and yield in the portfolio, checkout funds like:

- STK
- ASG
- TSLY
- APLY
- OARK
- KLIP

Some of these funds have 50% plus dividends, ***but are inherently risky***. This is due to the fact that the underlying holdings are comprised of fast-growing companies that are somewhat unproven, as a result.

So, just be aware of the extra movement (or beta) that these more volatile funds can bring, and therefore ensure that you ***limit your position sizes in them*** to reduce margin call risk.

You don't want to push the limits on margin calls just to increase your dividend income per year. I know looking at that number is addictive, and raising your income some each day is nearly irresistible. ***However, you must start small*** and get your dividend earnings up to a respectable amount, safely, before you can increase monthly earnings further by piling on more margin debt.

Speaking of margin calls, let's discuss another way to avoid them, which is even easier than diversifying and choosing allocations- monitoring equity maintenance! (Don't let the term daunt you). Let's dive into what ***maintenance*** is exactly, and how I use it, in the next chapter.

# Chapter 4:

*Maintenance*

Managing maintenance is the secret to all of my success. It is the key to maintaining a healthy balance between living financially free in a house on a hill, or triggering margin calls and living homeless under a bridge. Did I get your attention? Good! You need to have respect for your opponent.

You can pick all of the 4-star or 5-star funds that you want, and get pretty good performance in doing so. However, good performance doesn't ensure prevention of margin calls. Why not?

The secret behind this precarious problem would lie in your equity "maintenance".

Take Oxford (OXLC), for instance. If you have 100% of your holdings in this fund (plus just one cent in margin for illustration's sake) and it's doing well (by that I mean going FLAT sideways, and 100% of the dividends are going towards your bills, enabling you to live financially free), then all things would seem fine on the surface.

But if you take a closer look under the hood of OXLC you will find a more complex story. You see a 100% ***margin maintenance rate*** (at E*TRADE).

This means that you are flirting with disaster every day, as you have essentially 0 dollars of spare equity, or cash available for withdrawal, as I always say on my videos.

## The Secret of Maintenance

Therefore, if OXLC falls one cent, you are in a margin call by one cent, and will have 7 days to pay that margin call (or let the market reverse on its own and get out of the call for you).

This is why I limit my investments to 4-5 star rated funds **that are 30% maintenance**, like CLM and CRF. Not 100% maintenance like OXLC. This way, if I invest say, $100,000 in CLM and CRF; at 30% maintenance I will have $70,000 dollars left to play with.

Every broker gives you 4x purchasing power. So, $70,000 X 4 = $280,000 purchasing power left to play with.

This is how I get my estimated income of over $100,000 in dividends per year up so high: by using the excess equity available to tap the 4x margin purchasing power that everyone is

***automatically granted*** once they open a brokerage account and simply ***ask for day-trading status***.

Therefore, I try to use ***less than half of my margin purchasing power at all times*** in order to keep my available for withdrawal (equity) number high enough, which provides valuable cushion from market downturns and margin calls, while still allowing me to earn a high enough amount of dividends, per month, to live financially free on.

Do you see now why a healthy combination of using SOME extra margin for supplemental income (30%-50% max), combined with low maintenance, high-quality investments is the key to providing a financially free lifestyle?

I watch the maintenance levels of these funds ***very closely***, every day, to ensure my standard of living stays intact.

When market downturns occur, in order to release the negative pressure felt in the portfolio AND raise your equity levels back up in order to avoid margin calls, ***simply sell from your highest maintenance holdings.***

In my portfolio, for example, I keep the higher quality, 30% maintenance funds (like JEPI) at between 10K-20K per positions, while I keep the lower quality, higher maintenance funds, like OXLC, at between 1K-5K.

This way, I sell from these higher maintenance funds during market corrections to bring my equity levels up by the equivalent amount of dollars sold, avoiding margin calls and unnecessary losses in the process. I also lose minimal income this way.

If I am in a margin call or getting close to one, for example, I simply sell 1K of OXLC to raise $1,000 of equity back. (Due to it being 100% maintenance).

Conversely, if I sell $1,000 from JEPI, I only raise $300 of equity back, which doesn't help much in the way of adding more equity cushion to stave off a margin call. (Due to it being 30% maintenance).

So, ***always know your pressure release valves of where you are going to sell from first*** in the portfolio, should you ever need to limit market losses and margin call risks in a hurry. Margin or no margin, this is still a helpful strategy to implement during bear markets.

Let's talk about one more way to limit margin calls in the next chapter, which is through buying portfolio insurance (put options).

# Chapter 5:

*How to Escape Margin Calls in a Market Crash Through Options Insurance:*

Sometimes, you do everything right and the market still pulls the rug from underneath you. This is to be expected from time to time. During minor corrections, you are not so worried about margin calls because drawdowns are minimal, especially when you are using minor amounts of margin (which would be around 30% or less of your total account size).

However, ***when using heavy margin, pay close attention to the following:***

In the wake of a black swan, like in 08' or Corona, it is prudent to keep put options on in the S&P 500 because they act as a form of ***disaster insurance***.

Flood/hurricane insurance is needed in tropical areas, even though it can be costly per month and erode your income. But it is the ***price you have to pay*** in order to play in paradise. Portfolio insurance, especially when running heavy margin, is no different.

The way I enact this insurance policy on my portfolio is through buying 1-month and 3-month SPY put options, also known as married puts, at strike prices of $380 and $360, as the SPY currently trades at around $400 per share. Apply these percentages accordingly in the future as the market trades at inevitably higher prices overtime (because the S&P 500 averages a 7% return per year).

So, this means I have strike prices positioned about 5% and 10% away from the current market price of SPY, which gives me ample protection to the downside without breaking the bank. My hedges cost me about the same as some peoples' house insurance per month, about $200-$400.

You can also use triple short ETFs such as the S&P 500 triple short vehicle (SPXU). Whatever the S&P 500 does, so does SPXU, only times 3. But, like with options, these triple leveraged ETFs decay, and are a losing proposition long term.

The losses hurt in the put options when they don't come to fruition. Warning. They rarely ever do, since markets move higher overtime, of course. But this is a good problem to have! We will be making much more money on the long side (especially through margin), as we stay invested in the indexes unflinchingly (due to having insurance and 4-star funds). The insurance also helps you sleep at night, and it is hard to put a price tag on that.

Paying the cost ***now*** for insurance is nothing compared to paying all of your margin down, and being left with the cash flowing asset for a ***lifetime***. After all, market losses are meaningless after the point at which you cash flow the asset, and it has completely paid back your investment.

This term married put originates from the fact that as the index goes, so goes your portfolio. A rising and falling tide raises and lowers all ships, as the expression goes. So, if the S&P 500 (SPY) drops unexpectedly from a black swan event, you can count on the rest of your portfolio following suit.

Thankfully, ***if you are invested in index related names***, like I advocate, then you shouldn't be down any worse than the market on a given day. In addition, your put options should work in your favor in the opposite direction.

If the market does have a big enough crash, ***the option insurance even has the potential to make back MORE than you lost in your holdings.***

Another solution to prevent margin calls is to simply deposit more money into your brokerage account. When you are in dividend paying investments, buying more shares on the way down through DRIPs (dividend reinvestment program) is not "catching a falling knife".

Actually, it is just good old fashioned dollar cost averaging, with the expectations that the losses will eventually be paid back through the dividends, anyway. You have already bought the shares on margin, but bringing in the funds makes the margin paid down, ***and therefore is now your asset bought and paid for.*** It is no longer borrowed.

So, as long as a margin call is avoided through bringing in a deposit, your earnings base is now even stronger. This is because once you are out of margin, or close to, ***there is nothing that can take your earnings away from you*** (except dividend cuts, which are a part of the game sometimes; so are dividend raises).

So, in addition to using put option insurance to prevent margin calls, don't forget that a simple deposit of funds can eliminate the problem.

You can't say the same for buying individual stocks. You could deposit more money to service a margin call for stocks, sure. But there is no guarantee the stocks will come back. Highly-rated dividend funds linked to the major indices, on the contrary, come back nearly every time.

Even if Cornerstone, for example, doesn't come back price-wise as the market stalls, at least the 20% dividends are covering margin interest, and are paying back the investments over time. 20% x 5 years = 100% payback.

Not to mention, the ***DRIP program Cornerstone provides*** reinvests the monthly dividends at NAV, not the market price, providing a significant boost to your income each month. Stocks could never dream of accomplishing this.

Cornerstone DRIPs definitely make using margin easier. But there are many other high-quality funds out there that still pay 10%-20% dividends, without the volatility of a Cornerstone. However, those funds don't offer the special DRIP program that Cornerstone can.

Now let's talk about how you actually live on margin, and pay your bills through a brokerage, enabling you to live financially free at any age.

# Chapter 6:

*How To Live Out of Your Brokerage Account Responsibly*

It's ok to have nice things in life, but only when they are bought with your dividends (or future market earnings)! This is perhaps the most important chapter in the E-Guide.

Many people I know were pretty disciplined investors, and could survive off of margin fine (investing wise), but were still always near margin calls. Why?

Because they ***spent their money in cavalier fashion.***

I take exception to people flaunting items when they had to use credit cards or a lifetime of work just to get it. Slaving away until you're 70 for new cars, clothes, and jewelry items, just to pamper yourself with every so often, is nothing more than a setback to your bank account, since it doesn't truly make you happy.

Impulse buys like these effectively ensure you stay on the hamster wheel forever.

Now, thankfully in a brokerage account, not all hope is lost. You can still live the high-life without endangering your future.

***You just have to spend out of your dividends, instead of your principal.***

Just be aware that every dollar you spend in a brokerage account is 100% maintenance, essentially. So, if you spend out of your account $1,000, your available for withdrawal will always drop by that equivalent amount of $1,000. This is a scary notion, when not understood properly.

If you have 100K of cushion between a margin call and freedom, spending 1K (1%) is not going to hurt anything. If your cushion is only 10K, then 1K is now 10% of your equity, and that's a different story. Now, a 10% drop in the equity markets can put you into a margin call.

So, just beware of this fact, and maintain spending discipline out of your account. ***Spend out of cash flows so you don't have to worry about this caveat.***

Always have enough earnings to cover, both, paying your bills and paying your margin debt down, if you want the best experience using this leveraged income strategy.

Also note that people who live on stock market gains & dividends with lower yielding funds, like SCHD or VOO, have to sell from the principal to pay their bills (or buy nice things).

This monthly selling triggers tax implications (if you are up in your position), and erodes from your capital base, causing less capital gains growth and dividend payouts going forward.

***Plus, the meager income is not enough to qualify to banks with in a SCHD or VOO type of investment***. That's why I prefer higher yielding funds that are still highly rated and outperformed SPY, SCHD, and VOO over the last 10 years (according to Morningstar), because of the "qualifying income" aspect they provide.

(How Cornerstone Beats SCHD)

You can pay bills, buy nice things out of those cash flows each month and not erode your capital base, while still qualifying to banks for bigger loans in the process through selecting higher-yielding funds. Qualifying income is the secret to opening up your life, and making discretionary purchases, like a house or a car, possible.

This virtuous payback cycle allows you to maintain a financially free lifestyle without a 9-5 because the dividends act as your pay stub, or qualifying income to the banks, which only a job could provide before. Seeing the light?

The last thing to remember is to have all of your bills and loan payments tied to your brokerage account, ***which acts as a full-fledged checking account,*** if you prefer the convenience and extra equity under one roof**.** The more equity you have, the more cushion you have from a margin call.

I prefer holding my cash at E*TRADE, for example, just because the yield on cash is 6x higher than the national average (at least it was at one point for E*TRADE).

Plus, when I tie my bills to my brokerage account, I ensure no surprises happen, and my margin debt is eventually paid off, even if something unfortunate were to happen to me or my family.

This way, I live the dream everyday by knowing I earn about 10K per month in dividends, with bills of about 5K per month. So, as long as my bills are getting paid, and I'm paying down my margin 5K per month, then progress is always happening.

One day, I will wake up, and all margin debt will be gone. All the cash flowing assets will be mine- free and clear! At this point of celebration, because I'm always both ambitious and afraid of cost-of-living issues, I continue to add more margin debt. But that is my choice to keep marching onward and upward.

After all, my equity has ballooned each time that my margin debt has been paid down. So, after each payback cycle, when I increase my debt again to say another $100,000, my equity position is bigger the next time.

This means that my risk of margin calls becomes a distant thing more and more as each payback cycle is accomplished. Eventually, your account will be so big and margin debt so small, that you can afford to give yourself pay-raises each year, taking the same $100,000 in margin out; and every year you pay it back with less and less risk as your equity grows exponentially. It's a beautiful thing.

# Chapter 7:

*The Mindset for Margin*

In addition to spending responsibly out of your brokerage account, which takes a disciplined mind, a life of income-based investing, especially when using margin, requires almost a spiritual awakening of sorts.

***Not only does margin require losing attachment to material things*** (which helps prevent NAV erosion from frivolous spending out of your account), using margin also takes a **contrarian mindset**.

In the Bible, the world is NOT to be adhered to. The same goes for investing. When everyone is bullish, that's when you think about selling. When everyone is bearish, start dollar-cost averaging on the way down, regardless of what the media/world says.

Taking on loans and blazing your own trail is no different. You need to have vision when others can't see the path, and you have to have the conviction to follow the truth. The truth is, 70% of people are living paycheck to paycheck and are unfulfilled. Having no fear of low-interest loans to get ahead helps alleviate this problem.

There are 4 ways to beat the matrix and be free of a 9-5:

- Climb the corporate ladder (which is hard for most and takes a lifetime of veritable serfdom)
- Real estate (which requires many moving parts and less liquidity)
- Own your own business (which is taxed twice and has a high rate of failure, statistically speaking)
- Investing (which can be tax free if you play your cards right, most of my investments are tax-friendly)

When evaluating these choices, investing is the most viable option for financial freedom. Not only are dividends the key to investing (as opposed to trading) but, again, low-interest rate loans are the best way to get further ahead. Many of the great investors and corporations took loans out for themselves. Why should we be any different?

People learned the wrong lessons from teachers in school, who were most likely broke themselves. My family is full of teachers, and I taught in the public school system myself, so I mean no offense by this.

I just believe that the system is designed for big business and colleges to groom people into "productive" citizens, which usually entails less thinking for yourself. This promotes reliance on authority figures and the media, instead of your own faculties, which is detrimental to finding your true voice, and ultimately blazing your own trail.

Now, through this E-Guide, you have been renewed in knowledge.

You are automatically granted 4x margin in your brokerage account, which can immediately supplement your income and act as a synthetic paycheck to beat the 9-5. So, you are in control of your own destiny from this point on.

It is up to you to embrace your financial future that awaits and not be irresponsible with the gift that is margin, and the 4x purchasing power that it provides on the money you deposit. Just follow this E-Guide closely to ensure that fatal mistake doesn't occur. I am not trying to scare you. I am just trying to instill the quality in you to always have respect for your opponent (margin calls) at all times.

By following the rules listed above in this E-Guide, you can not only earn the income needed to survive alone from a 9-5, but you also will prevent the dreaded "margin call" from occurring, which is the ***primary*** obstacle standing in the way between serfdom or a life of financial freedom (again, assuming you pick ***the right amount*** of high-quality indexed funds with low maintenance).

So, please keep this E-Guide close as you embark on your journey toward financial freedom. The principles stated above have gotten me through my most challenging times, and hopefully they can act as a beacon of light for you when more storms inevitably occur in the stock market. The storms are guaranteed on the journey. But, this E-Guide can act as your refuge. Refer to it and the channel as needed. Godspeed!